

Vistra Corp.

VST | October 4, 2026

REDUCE

Fair value (12-mo horizon reference)	\$120.00
Current price (October 2, 2026 close)	\$140.02
Implied upside / downside	-14%
Verdict	REDUCE

Investment Thesis

Vistra is the best-positioned independent power producer in America for the AI electricity supercycle, and the market has spent two years repricing it as such. The facts are impressive: the second-largest competitive nuclear fleet in the U.S. at about 6.4 GW (Comanche Peak plus Beaver Valley, Davis-Besse, and Perry from the 2024 Energy Harbor acquisition), roughly 3.8 GW of nuclear capacity now contracted to hyperscalers - a 20-year PPA for up to 1.2 GW at Comanche Peak with AWS, 2.6 GW across three plants with Meta - a record 2025 with ongoing-operations adjusted EBITDA of \$5.912 billion, 2026 guidance of \$6.8-\$7.6 billion, and a 2027 outlook of \$7.6-\$7.8 billion that excludes the pending 5,500 MW Cogentrix acquisition and the Meta contracts. Management has repurchased about 30% of shares outstanding since late 2021. This is a well-run company riding a genuine demand wave.

Riding it is the operative phrase, because the stock at \$140.02 is priced as though the wave never breaks. Independent power producers are merchant businesses: they sell into wholesale markets and through contracts, which means they have torque to rising power prices - and torque cuts both ways. The hyperscaler PPAs are real and long-dated, but they cover a fraction of the fleet; the rest of the earnings power is a bet on sustained tightness in power markets, on data-center load materializing on schedule, and on capacity prices staying elevated. The company carries around \$19 billion of debt, plans about \$3 billion of 2026 capex, and the latest reported quarter missed consensus on both earnings and revenue. The AI-power narrative is doing a great deal of work in this valuation - including the June 2026 Helix Digital Infrastructure venture with Nvidia and the Kuwait Investment Authority, which is strategic optionality, not cash flow.

Our judgment, on a probability-weighted scenario DCF - 10-year horizon, 10% base discount rate reflecting merchant power-market exposure and leverage, bear +250bp, bull -150bp - is fair value of \$120, about 14% below the current price. The base case respects the contracted cash flows: the AWS and Meta nuclear PPAs, the retail earnings stream from TXU, and a constructive but not heroic power-price environment. The bear case, which sits below the price as required, models what merchant generators have experienced in every prior cycle: data-center load arrives slower than announced, power prices mean-revert as new supply (including Vistra's

own new gas builds) clears, capacity revenues normalize, and the leverage that amplified the upside amplifies the downside. We rate the stock REDUCE. The electrons are real; the price assumes they are all sold at peak-cycle economics forever.

Business Overview

Vistra is an independent power producer (IPP) and retail electricity provider. Unlike regulated utilities, it earns no guaranteed return: its generation fleet sells power into competitive wholesale markets (ERCOT, PJM, and others) and through bilateral contracts, while its retail arm - anchored by TXU Energy in Texas - sells directly to residential and commercial customers. The integrated model (generation plus retail) provides a natural hedge: the retail book is effectively short power that the generation fleet is long, dampening merchant volatility while retaining upside to tight markets.

The fleet is the strategic asset. Nuclear - about 6.4 GW across Comanche Peak in Texas and the three Energy Harbor plants in Ohio and Pennsylvania - is the crown jewel: carbon-free, baseload, 90%+ capacity factors, and suddenly the most coveted generation on the grid because hyperscalers will pay premiums for firm clean power. Around it sits a large natural-gas fleet (expanded in 2025 with ~2,600 MW across seven plants acquired from Lotus Infrastructure Partners), legacy coal in managed decline, and growing solar and battery storage. The pending Cogentrix acquisition would add another 5,500 MW of mostly gas-fired capacity.

Financially, the company is in the strongest position in its history and also the most levered to the power-price cycle. 2025 ongoing-operations adjusted EBITDA was \$5.912 billion, a record; 2026 guidance is \$6.8-\$7.6 billion with adjusted free cash flow before growth of \$3.9-\$4.7 billion - a double-digit FCF yield even at recent prices. The dividend is \$0.92 per share (a sub-1% yield - this is not an income stock), and the buyback has retired roughly 30% of shares since November 2021 with \$1.8 billion of authorization remaining. Debt of about \$19 billion is the shadow over the story: manageable at current EBITDA, constraining if EBITDA reverts.

Forward Outlook

Our forward view is that Vistra's contracted earnings - the nuclear PPAs with AWS and Meta, the retail book, the hedged portion of the gas fleet - compound reliably through the decade, and that this contracted base alone supports a solid mid-\$100s valuation. The 20-year AWS contract at Comanche Peak and the Meta agreements are genuine derisking events: they convert merchant nuclear megawatts into bond-like cash flows at attractive economics, and there is a credible pipeline of additional hyperscaler deals for the remaining uncontracted nuclear capacity. The New Era 20-year PPA (200 MW from a Texas gas plant, starting 2027, plus a 5% project interest) shows the contracting playbook extending beyond nuclear. This is a better business than the Vistra of 2021, and the market is right to pay up for it.

Where we part company with the bulls is on the uncontracted earnings - the merchant torque that the current price extrapolates indefinitely. Power markets are cyclical because supply responds to price: high power prices and capacity payments are already pulling new gas builds (including Vistra's own 860 MW in West Texas), battery storage, and demand-response into the market, and every megawatt of new supply is a future headwind to the spark spreads the bull case assumes. Data-center load forecasts, meanwhile, have a long history of arriving late and light relative to announcements; the 1.4 GW New Era campus, the Helix venture, and the broader AI-load pipeline are real options, not contracted EBITDA. Our base case assumes power markets stay constructive but normalize from today's tightness, with merchant EBITDA flattening late in the decade rather than compounding at the guided trajectory forever.

The honest bull case for the stock from here requires one of two things: power prices structurally resetting higher for a decade (possible if load growth truly overwhelms supply additions, but a bet on persistent market tightness that history counsels against), or Vistra converting far more of its fleet to long-dated hyperscaler contracts at premium economics, effectively turning the merchant generator into a contracted infrastructure company. We assign real probability to further contracting - management's commercial team is demonstrably best-in-class at it - but the current price already assumes a great deal of it. Our judgment: own the contracted cash flows at the right price; at \$140, you are paying for merchant earnings at peak-cycle multiples.

Valuation

We value Vistra on a probability-weighted scenario DCF over an explicit 10-year horizon, weighted 25% / 50% / 25%, with a 10% base discount rate reflecting merchant power-market exposure, ~\$19 billion of debt, and the inherent cyclicity of wholesale power - a full standard rate despite the nuclear fleet's quality, because leverage and merchant torque dominate the risk profile. The bear case adds 250bp, the bull case subtracts 150bp with an 8% floor. Terminal growth is capped at 2.5% on normalized mid-cycle power-market margins - not on today's elevated spark spreads and capacity prices - and terminal value exceeding 70% of enterprise value is haircut and disclosed.

The bear case, sitting below the current price, models the merchant cycle turning: data-center load materializes at half the announced pace, new gas and storage supply clears the tightness in ERCOT and PJM, power and capacity prices mean-revert, uncontracted EBITDA falls 25-30% from peak, and leverage ratios deteriorate - the classic IPP downcycle. The base case assumes the AWS/Meta nuclear PPAs and retail earnings compound as contracted, merchant markets stay constructive but normalize gradually, the Cogentrix acquisition closes and integrates at guided economics, and free cash flow funds continued buybacks and deleveraging. The bull case assumes sustained power-market tightness through the decade, most remaining nuclear capacity contracted to hyperscalers at premium 20-year economics, and Vistra effectively completing the transition from merchant generator to contracted clean-power infrastructure.

The probability-weighted fair value is \$120.00, our target, against the October 2, 2026 close of \$140.02 - about 14% downside. The valuation credits every contracted electron and still finds the market paying peak-cycle multiples for merchant earnings. In IPP investing, that has historically been the wrong side of the cycle to pay up.

Key Risks

- Power-price mean reversion: merchant earnings are torque to wholesale prices; new supply (gas builds, storage, demand response) responding to today's tightness would compress spark spreads and capacity revenues.
- Data-center load shortfall: announced AI-load pipelines have a history of arriving late and light; slower-than-expected load growth undermines the demand thesis.
- Leverage: ~\$19 billion of debt is manageable at \$7B+ EBITDA but becomes constraining quickly if merchant EBITDA reverts toward historical norms.
- Regulatory and political risk: nuclear uprates, plant life extensions, and market-design changes (capacity market reforms in PJM, ERCOT evolution) are subject to political and regulatory decisions.
- Contract concentration: a small number of hyperscaler counterparties underpin the growth narrative; counterparty or project risk is concentrated.

- Retail margin pressure: the TXU book faces competitive and regulatory pressure in Texas retail markets; hedged margins can compress.
- Cogentrix integration: the 5,500 MW acquisition must deliver guided economics; large fleet integrations carry operational and market risk.

What Would Change Our Mind

- Contracting the bulk of remaining nuclear capacity to investment-grade hyperscalers at 15-20 year terms and premium economics would convert the merchant risk we are discounting into contracted cash flow and raise fair value materially.
- Structural, durable power-market tightness - load growth persistently outpacing supply additions for several years with data to prove it - would validate the bull-case power-price deck.
- A cyclical washout that takes the stock toward \$90-100 on transiently weak power prices, with the nuclear fleet and contracts intact, would flip us to BUY - IPPs should be bought in the trough.
- Conversely, evidence that data-center load forecasts are being cut, or new supply clearing prices faster than expected, would deepen the REDUCE thesis.
- A debt-funded empire-building acquisition beyond Cogentrix, or suspension of the buyback to fund speculative development, would signal capital-allocation drift.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins - never peak margins - and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.